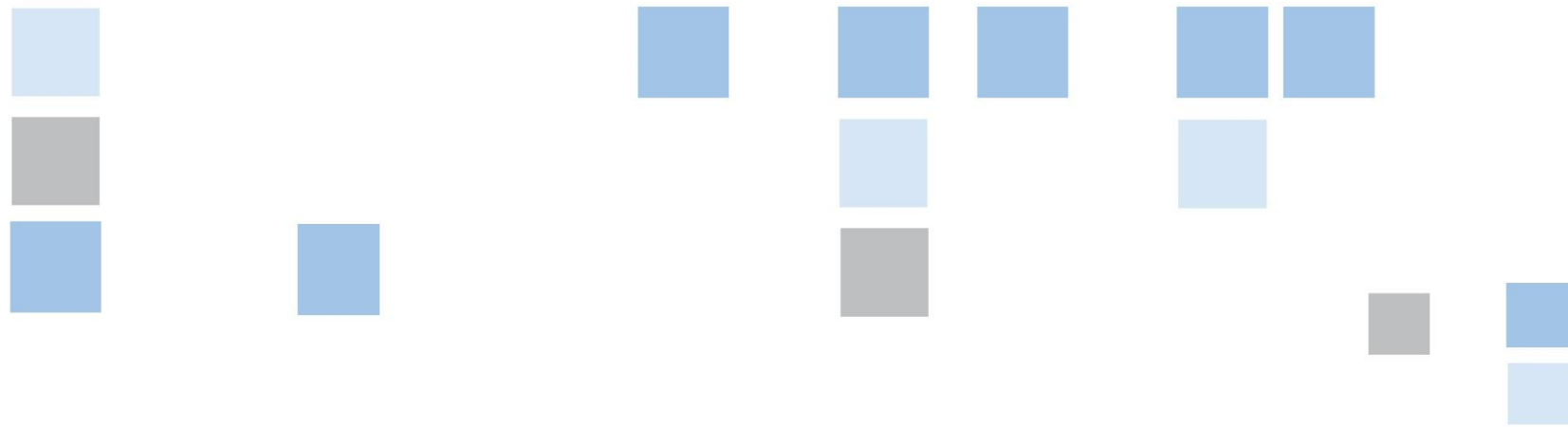
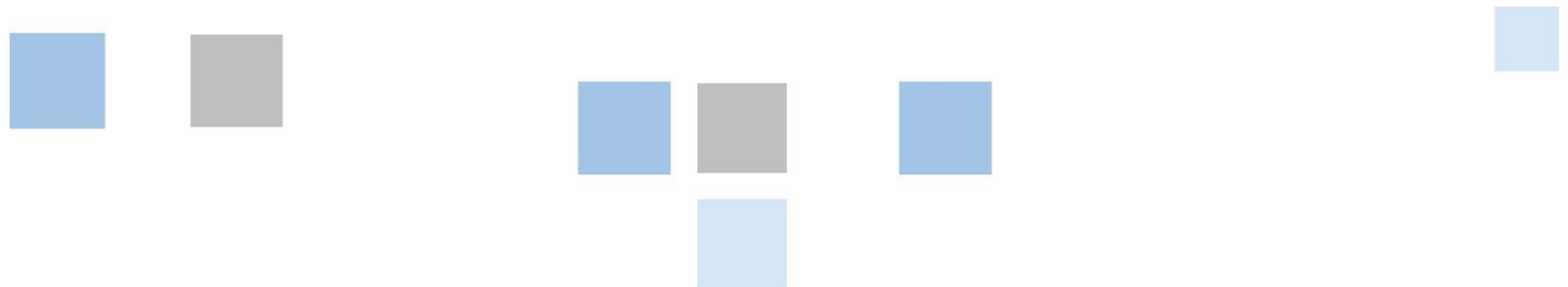




TG007 Project Management

S02 Organizational Context and Strategic Alignment

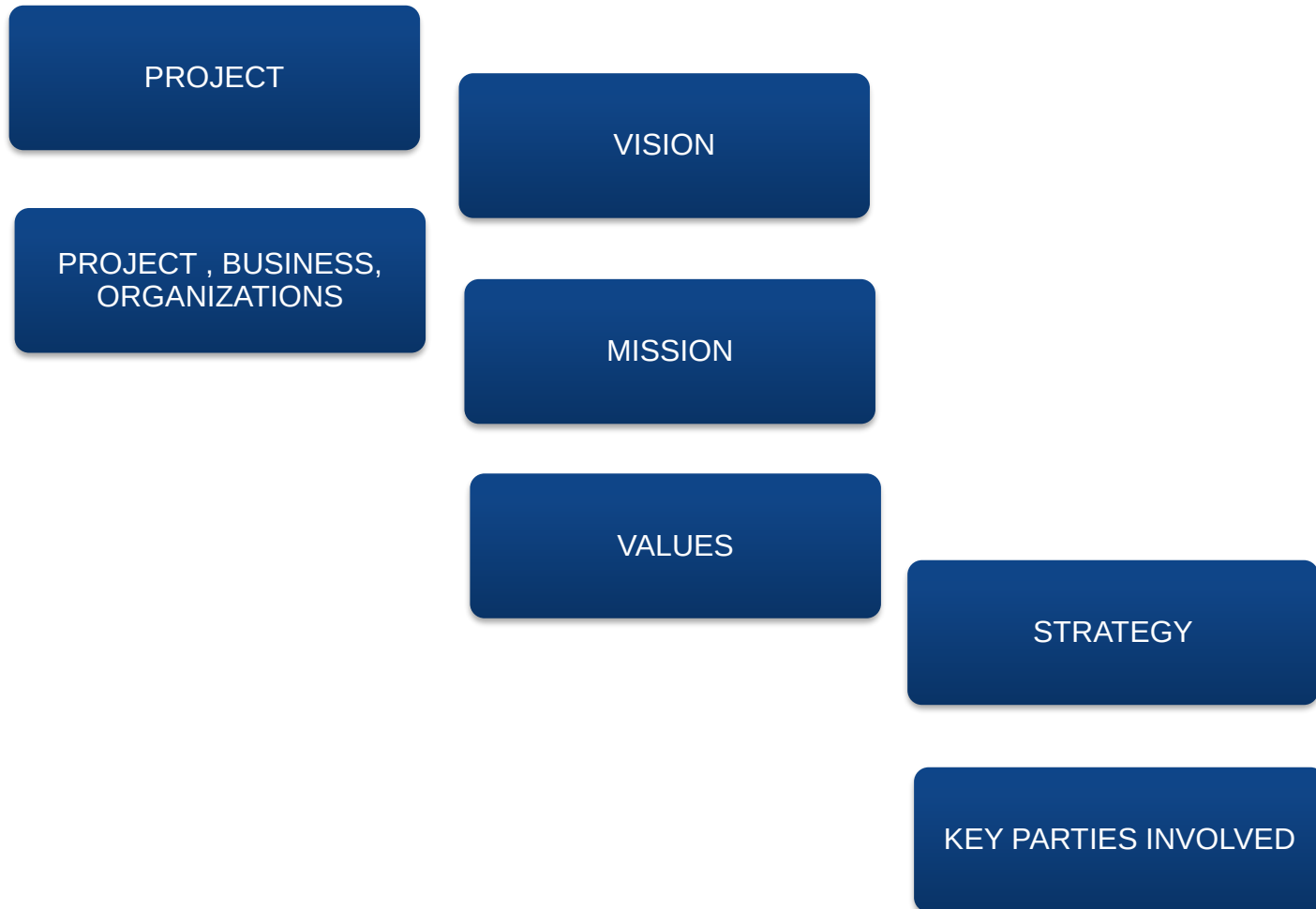


Key Concepts from the last Session



Group discussion

Key Concepts from the last Session



Strategic Project Management



Objectives

- To understand and master the Strategic Analysis Frameworks
- Synthesize External and Internal Insights
- Refine Goal-Setting with SMART Objectives



Strategic Project Management



- Helps identify strategic priorities
- Assess risks and opportunities
- Inform decision-making and strategy formulation



Strategic Project Management



Contents

1.1 PESTEL

1.2 SWOT, PREN

1.3 Balance Score Card (BCD)

1.4 SMART Objectives

Strategic Project Management



1.1 PESTEL

Strategic Project Management

Political

Influence of government policies, regulations, stability, and geopolitical considerations on business operations.

Economical

Economic conditions and trends that impact businesses, markets, and consumers.

Social

Explore demographic trends, cultural influences on consumer behaviour, lifestyles, attitudes, and preferences.

Technological

Identify advancements in technology and their impact on industries and business models.

Environmental

Assess environmental regulations, sustainability initiatives, and climate change risks.

Legal

Review laws, regulations, and compliance requirements relevant to the industry.



Strategic Project Management

Political

Governmental policies
Political Stability
Trade wars
Government subsidies.

Economical

Economic growth
Exchange rates
Unemployment risks
Interest rates
Consumer spending

Social

Changing demographics & consumer preferences
Rise of nationalism
Increasing awareness of mental health

Technological

Technological innovation
Cybersecurity threats
Development of new technologies
Increased regulation of technology.

Environmental

Sustainability
Waste disposal
Climate change
Water scarcity.

Legal

Intellectual property protection
Data privacy regulation
Lawsuits
Data protection laws

Strategic Project Management



1.2 SWOT & PREN

Strategic Project Management



A framework used to **evaluate a company's** competitive position to develop strategic planning.

Strategic Project Management



Strategic Project Management



(S)trength		(S)trength	RNAL
(W)eakness		(W)eakness	RNAL
(O)portunity		(O)portunity	RNAL
(T)hreat		(T)hreat	RNAL

Strategic Project Management



Okay, we have a great SWOT, but now what?

(S)trength	INTERNAL	→	(P)otentiate
(W)eakness	INTERNAL	→	(R)educe
(O)portunity	EXTERNAL	→	(E)nhance
(T)hreat	EXTERNAL	→	(N)eutralize

PREN

Strategic Project Management



1.3 S.M.A.R.T Objectives

Strategic Project Management



Specific: Goals should be **clear and well-defined**, answering the questions of who, what, where, when, and why.

Measurable: Goals should include criteria for **tracking progress** and determining when they have been achieved.

Achievable: Goals should be **attainable given available resources** and constraints.

Relevant: Goals should **align with broader objectives** and contribute meaningfully to the organization's mission or purpose.

Time-bound: Goals should have a **specific timeframe or deadline** for completion, providing a sense of urgency and accountability.

Strategic Project Management



“Develop and **deploy a fully functional AI-powered customer support chatbot** within **six months**, using **Python and TensorFlow** for natural language processing, integrating it with the company’s existing **CRM system (Salesforce)**, and ensuring it **resolves at least 80% of user inquiries** on the first attempt to **reduce human agent workload by 30%.**”

Strategic Project Management



1.3 Balanced Scorecard (BCD)

Strategic Project Management

To measure performance of the business and align their activities with their vision and strategy. The Balanced Scorecard approach aims to 'balance' performance indicators by examining business performance from four different perspectives..



Strategic Project Management



Vision

What is the company vision?

Business Key Areas

Perspective

Financial

Customers

Internal Business Processes

Learning & Growth

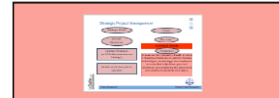
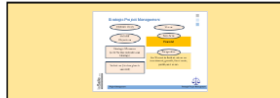
You'll want to look at return on investment, growth, fixed costs, profit, and so on.

To examine your company's activities from your customers' or stakeholders' perspective. How do your customers view your activities? What are the reviews and feedback? Do you have an objective measure of customer satisfaction from surveys or other sources?

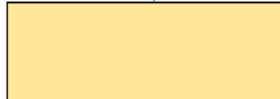
To examine a company's internal processes to look for areas ripe for improvement by removing inefficiencies and identifying error-prone portions. Would it help the company's strategic goal if some processes were faster or cost less?

To examine the company's health in terms of training employees on rapidly changing technologies, mentoring junior employees in a way that helps them grow and contribute, and employing the latest tools and systems to foster innovation.

Strategic Goals



Smart Objectives



Strategic Measures

What are the measurements (or KPIs) that indicate our strategic direction?

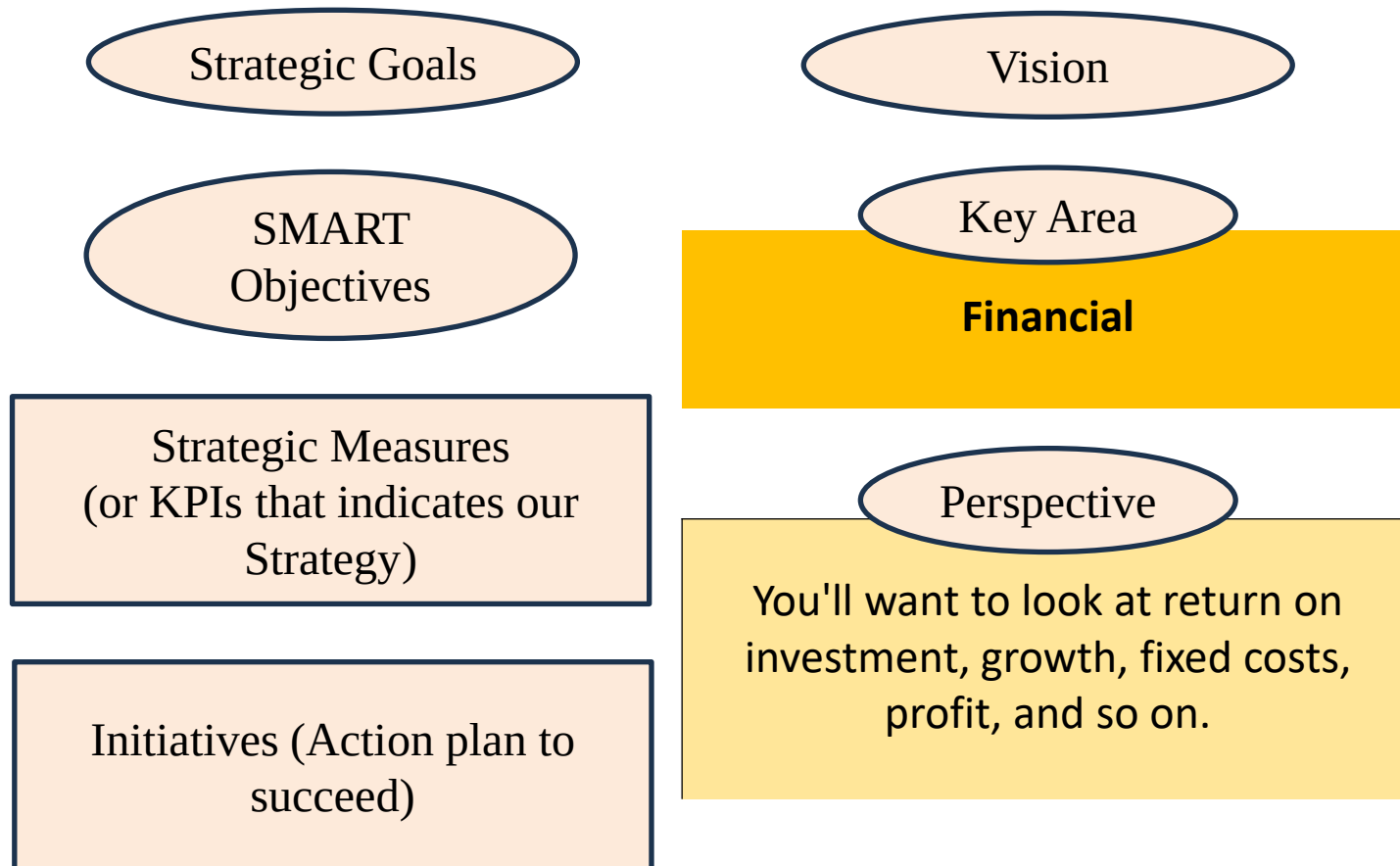


Initiatives

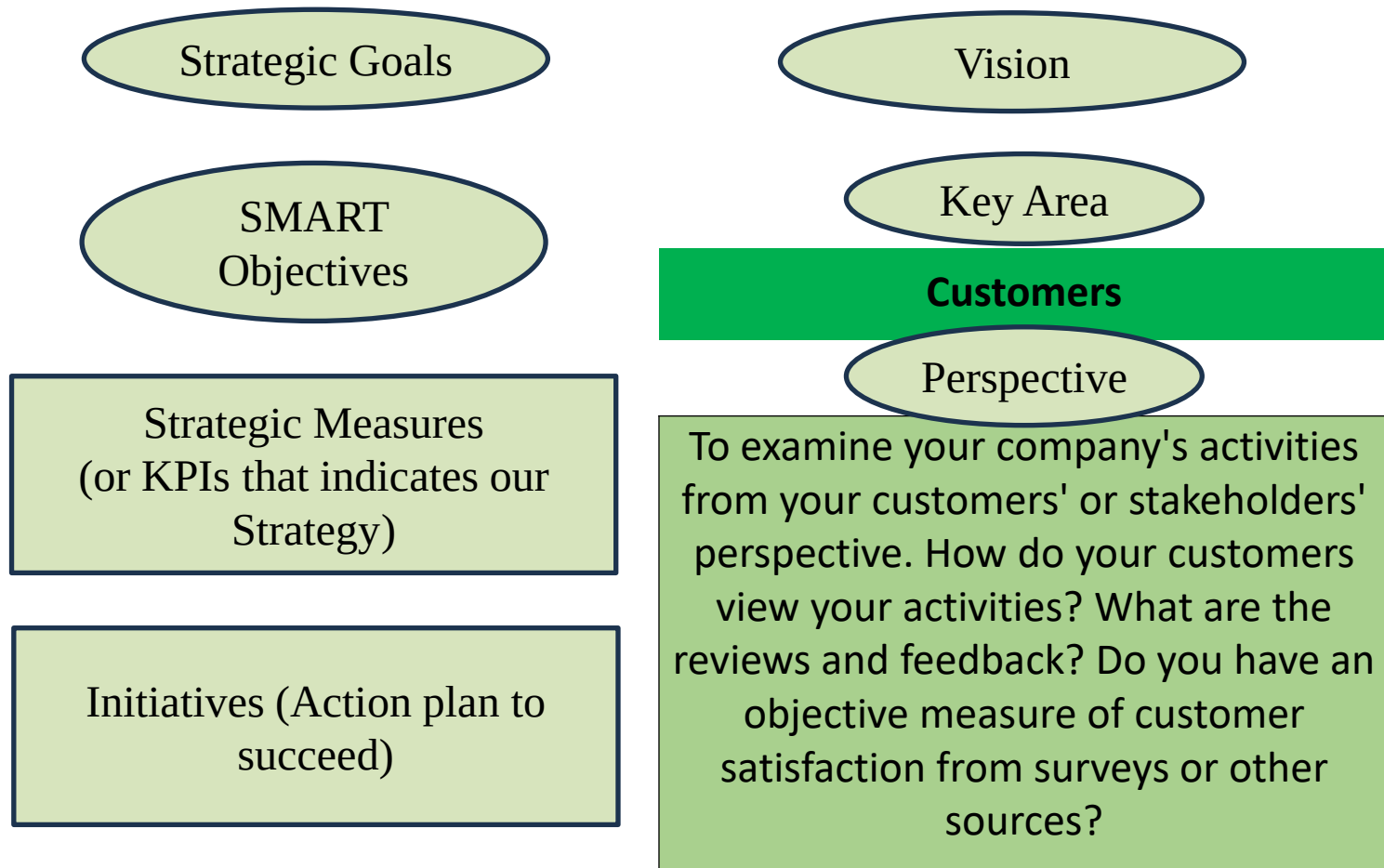
What should be our action plan to succeed?



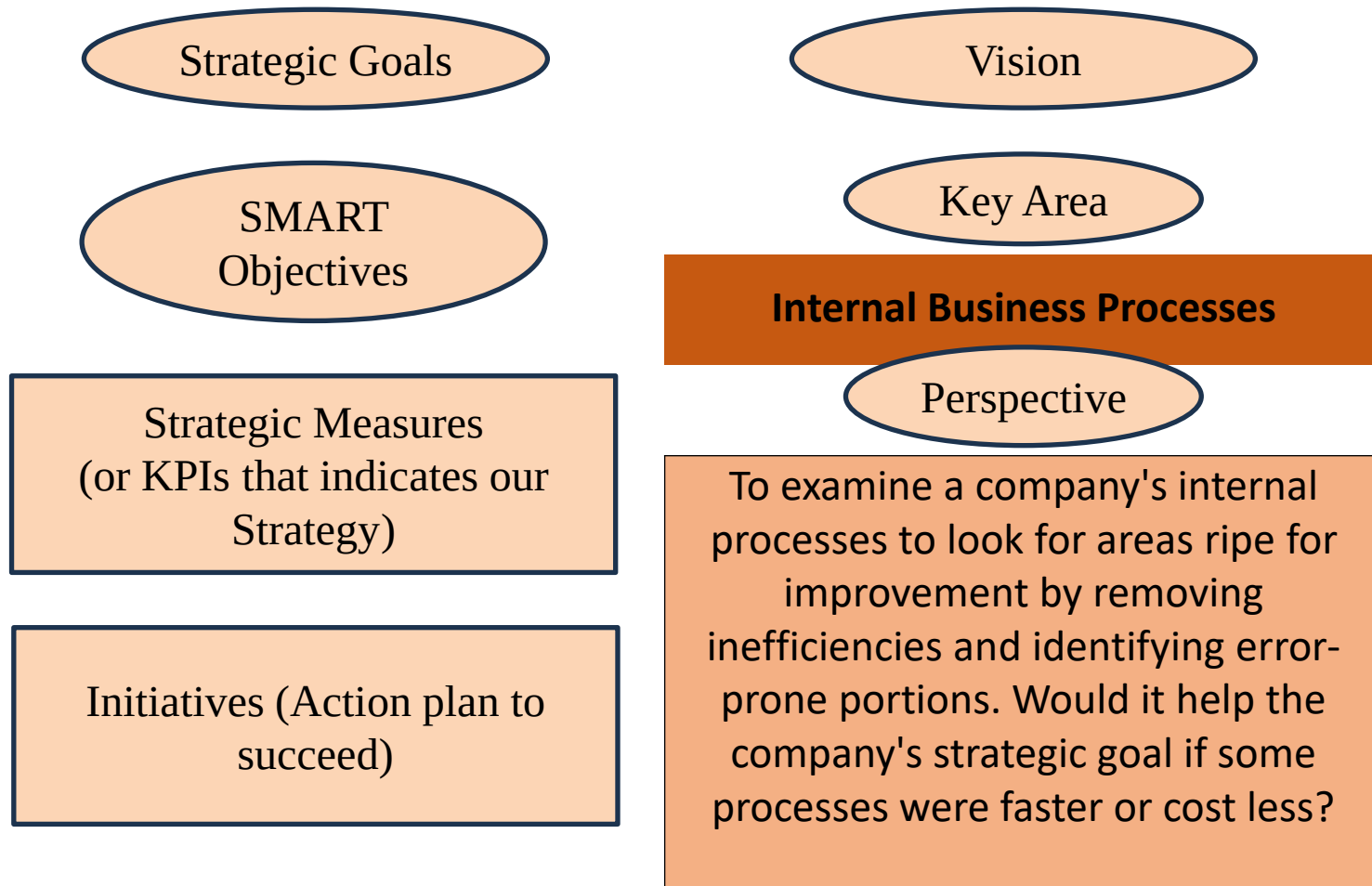
Strategic Project Management



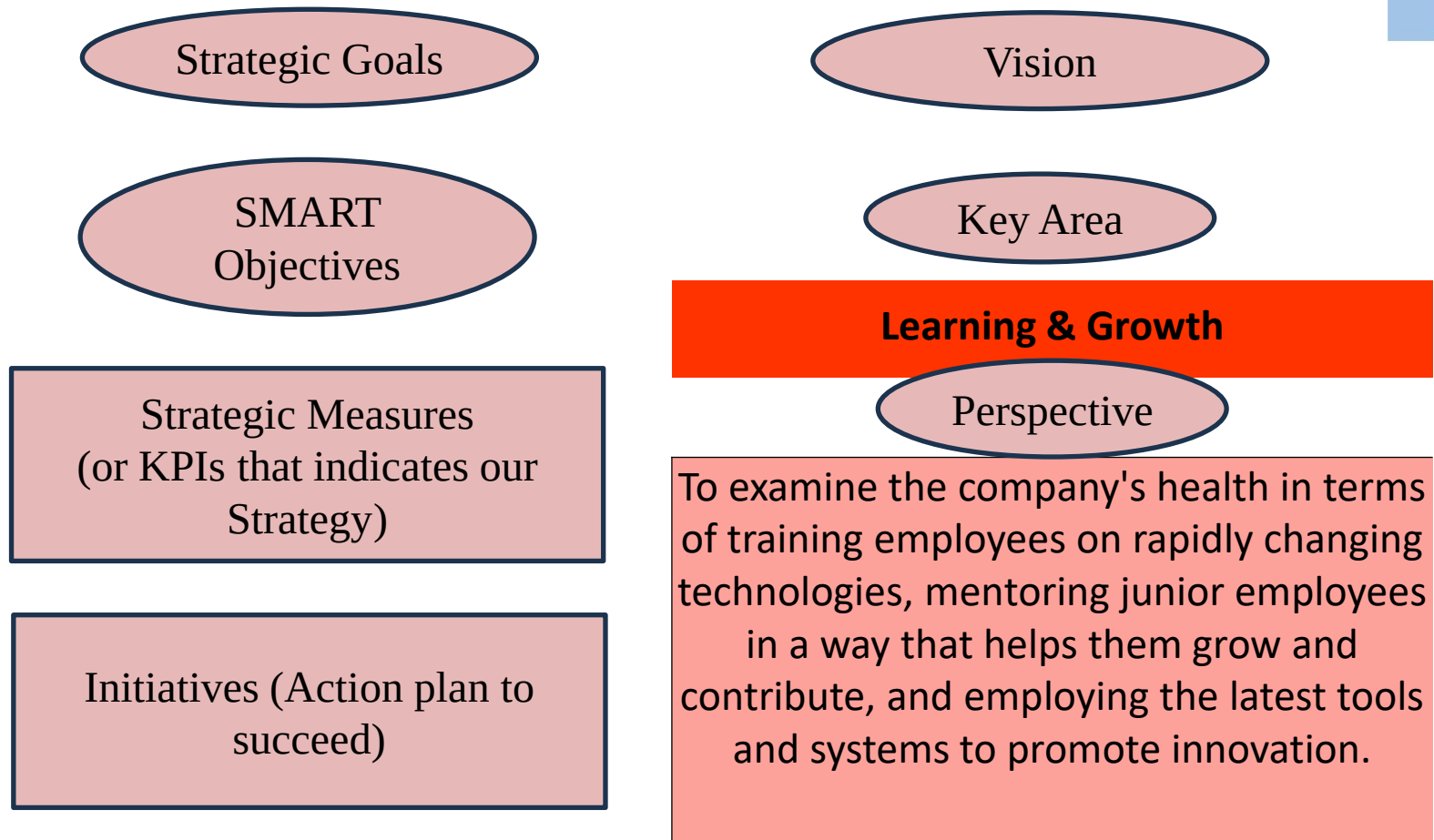
Strategic Project Management



Strategic Project Management



Strategic Project Management



Strategic Project Management



FINANCIAL :

Focus: Profitability, revenue growth, cost efficiency

KPIs:

- Revenue growth (%)
- Return on Investment (ROI)
- Cost per customer acquisition

Apple tracks **iPhone revenue growth** to see how well a new model performs.

CUSTOMER :

Focus: Customer satisfaction, retention, and market share

KPIs:

- Customer Satisfaction Score
- Net Promoter Score (NPS) – How likely are customers to recommend?
- Customer Retention Rate (%)

Amazon focuses on **customer service and fast delivery**. Their high NPS means loyal customers!

Strategic Project Management



INTERNAL PROCESS :

Focus: Efficiency and quality of internal processes

KPIs:

- Production cycle time
- Order fulfillment rate (%)
- Defect rate (%)

Toyota uses **Lean Manufacturing** to reduce waste and improve car production efficiency.

LEARNING AND GROWTH :

Focus: Employee development, innovation, and knowledge sharing

KPIs:

- Employee training hours
- New product innovations per year
- Employee engagement score

Google invests in employee training and innovation programs like "**20% time**" where employees work on passion projects (leading to products like Gmail).



Wrap Up

- **SWOT:** Provides insights into internal strengths and weaknesses, as well as external opportunities and threats, forming the foundation of strategic analysis.
- **PREN:** Complements SWOT analysis by focusing on actionable strategies to potentiate strengths, reduce weaknesses, enhance opportunities, and nullify threats.
- **PESTEL:** Integrates external insights from political, economic, social, technological, environmental, and legal factors to anticipate changes and inform strategy.
- **Balanced Scorecard:** Translates strategic objectives into actionable measures across various perspectives, aiding in strategic alignment and performance monitoring.
- **SMART Objectives:** Provides a framework for setting clear and actionable goals that support strategic objectives, ensuring focus, accountability, and alignment with organizational priorities.

Business Project Management

